

Risk and Disclosures

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The legal position, the operational status, and everything that can go wrong

Asher Wilson, Founder

asher@maschine.dev

Abstract

Read this before funding anything. It states what Maschina Labs is and is not, what is operational today and what is not, every material risk we are aware of, and the commitments we make about honesty. Nothing here is softened, because a risk document that reads like marketing is not a risk document.

Legal disclaimer. This document is the controlling statement of Maschina Labs' legal position, operational status and risk disclosure as of the date above. Where any other Maschina document appears to conflict with this one, this one governs.

1. Legal position

Nothing in these documents is an offer to sell or a solicitation of an offer to buy any security, token or financial instrument. Nothing in them is investment, financial, legal, accounting or tax advice.

Maschina Labs does not provide investment advice, does not manage funds on behalf of users, and does not take custody over user assets. A machine acts on instructions its owner sets. The owner is responsible for those instructions and for the outcomes.

Statements about future capability describe present intent and may change. Forward looking statements are not guarantees. Availability of specific capabilities depends on jurisdiction and may change without notice.

2. No promise of returns

Maschina does not promise, project or imply returns. It never will.

Most automated trading loses money over time. In the largest study of the question, ninety seven percent of people who persisted at day trading lost money net of fees [3]. A machine can spend its entire budget and return nothing.

The limits in this system prevent a machine exceeding what its owner permitted, or sending funds somewhere the owner did not name. They do not protect against a strategy being wrong, and nothing can.

Any person or material claiming otherwise, including anyone claiming to represent Maschina Labs, should not be believed. We will never contact you promising a return.

3. Operational status as of September 20, 2026

Operational. Machine wallets with verified policies. The budget ledger, proved under concurrent load against a real database. Mandate checks before signing. Signing, single send and settlement at true cost read back from the chain. Quotes checked against an independent price source. The node system with leases, claims and recovery. Condition monitoring that queues work. The append-only record with lease fencing. The public interface.

Under construction. Machine kinds that hold and close positions. Wallet sign-in. The application. Simulation. The marketplace. The contributed network. Mandatory asset checks. Standing. Issuance. Every capability described in document 06 beyond immediate, scheduled and triggered execution.

Not yet performed. An independent security audit. When one occurs, the report is published in full, including whatever it finds.

Not claimed. That any machine has been profitable. That claim has not been earned and will not be made until it can be made with the record attached.

4. Risks

Strategy risk. Rules that worked yesterday can fail today. This is the largest risk in the system and it cannot be mitigated by design.

Market risk. Prices move violently. Slippage, thin liquidity and failed transactions cost real money, and small trades are affected disproportionately by fixed cost.

Protocol risk. Machines interact with third party protocols. A failure, exploit or economic attack in one of those protocols can cost a machine its funds regardless of how correctly Maschina behaves.

Asset risk. Any asset can be a fraud. Over sixty two percent of meme coins launched in 2025 were flagged as potential rug pulls within thirty days [1]. Mandatory checks remove most of the category and will not remove all of it. An asset can pass every check and become worthless minutes later.

Provider risk. Key management is performed by a third party. An outage prevents machines from acting. A compromise would be serious, which is why the wallet policy restricts destinations even if signing were misused.

Software risk. Maschina is under construction and contains defects. Some will be found expensively. The design bounds the consequence of a defect to a machine's own budget. That is the honest guarantee: not that nothing will go wrong, but that what goes wrong is bounded and visible.

Regulatory risk. Parts of the intended system sit close to regulated activity in most jurisdictions. Those parts arrive with a structure or do not arrive, and rules may change in ways that remove capabilities in particular markets.

Company risk. Maschina Labs is an early company and may fail commercially. Two things limit what that could cost a user: funds are never held by Maschina, and the procedure for recovering them directly from the key management provider, without our involvement, is published and kept current.

5. Tax

Trading has tax consequences in most jurisdictions and they belong to the owner. Maschina provides exportable records of every action. It does not provide tax advice.

6. Commitments

We publish no returns that did not occur. We present no projection as an expectation. Every result is shown beside the benchmark of having done nothing. What is broken is published, including in this document. Audit reports are published in full including findings. Machines that failed remain visible beside machines that worked.

7. Contact

Maschina Labs. maschinalabs.com. Security reports through maschina.dev/.well-known/security.txt

8. References

[1] Chainalysis. *The 2026 Crypto Crime Report*.

[3] F. Chague, R. De-Losso and B. Giovannetti. *Day Trading for a Living?* SSRN 3423101.